CHAPTER TEN

A QUEST FOR EXCELLENCE

The JRD QV Award

A prominent component of Ratan's vision as the new chairman of Tata Sons was to effect transformational changes in Tata companies by promoting innovation and competitiveness. As he recalled later, he hastened to implement the changes as several of the group companies 'had their heads in the sand' and were simply 'resting on their past glories'. His aim was to create a 'formal focus for business excellence'. To achieve this, he drew on the strategies underlined in the Malcolm Baldrige National Quality Improvement Act of 1987, promoted by US President Ronald Reagan to strengthen the nation's industry. The act provided for the establishment of the Baldrige Excellence Framework to encourage 'American Business and other organizations' to adopt 'effective quality control in the provision of their goods and services'.

He found a convenient venue to make the announcement in 1994 during the ceremony to present the ISO 9001 award to Tata Honeywell. At the function held in Pune, Ratan walked up to the podium and made an eloquent commitment to implement the Baldrige Excellence Framework across the group. He declared that on reaching Bombay, he would put together a team to kickstart the programme and institute an award.

Ratan named this the JRD Quality Value Award, or the JRD QV Award, in August 1994. By naming the award after J.R.D. Tata, Ratan invoked the memory of the Tata icon. He believed that JRD should be remembered through 'something other than a brick and mortar edifice or a bronze statue' and remarked that 'J.R.D. Tata was always conscious of the importance of quality and was proud that companies within the Tata Group were known for the quality of their products and services'.